planning expenditures keeping in mind the extent of resources, revenues and debt. This brought about a paradigm shift.

The Centre adopted this discipline for itself and there was a shift in the policy stance with respect to states as well. They were subjected to a ‘golden rule’: limit revenue expenditures to non-debt tax and non-tax revenues and borrow only up to the prudent limit decided by the FRBM law to invest in capital expenditures. The states soon adopted FRBM laws. This effectively brought in a ceiling on debt, though indirectly, which had been envisaged by the Constitution but not implemented in the first fifty years after Independence.

Second, the government decided to deal with burgeoning pension liabilities, which effected a fundamental change in the management of fiscal expenditure. The civil service pension (which by extension was applicable for most public-sector employees) was based on the ‘defined benefit’ principle. The pension benefit was prescribed in legal rules—generally 50 per cent of last pay as pension upon completion of thirty-three years of service. Pension benefits were changed quite frequently to make them more attractive to employees and pensioners at the will of the political masters. No funds were set aside by the government to meet pension liabilities. These were paid from general revenues.

In 2004, the government decided to switch over to a pension system based on ‘defined contribution’. This envisaged opening an individual retirement account for every new employee to which the government made a specific contribution (as a proportion of pay). Employees also made their contribution to the account. The corpus of retirement accounts was to be invested by professional asset management agencies keeping in mind the investment pattern preferred by each individual. The government’s pension liability to a specific employee was over after contribution to their account. All state governments, over a period of time, also switched over to this defined contribution pension scheme, or NPS.